

closely, and when it gapped up (a breakaway gap), he bought and received a fill at 40.

Each day the stock moved higher, and in 3 days it had reached his target price of 43.75. The day after that the stock gapped again (exhaustion gap), signaling an impending end of the rise. The day after that, price faltered, and that is when he sold and closed out his position at 47.50. He netted over \$7 a share or 18% in less than a week.